The numbers behind the plan

Cost evidence, production scope and repayment stress.

687 cost rows. Four stress cases. No unproved repayment claim.



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Current controls: 11 October 2026. Earlier financial assumptions are superseded by the 687-row cost ledger and monthly forecast.

Current control document | 11 October 2026

This document reconciles the current cost model, forecast, and production scope for investor review. It is a control narrative, not a promise of funding, operating performance, or investor return.

Reconciled planning numbers

The source model contains 687 rows. The base gross first-year requirement is **$3,139,152.61**, comprised of $1,345,120.33 one-time, $1,266,942.18 recurring, $24,509.50 inventory, $9,000 refundable deposit, and $493,580.60 reserve. Base monthly recurring spend is $105,578.52. The low and high cases are $2,616,874.61 and $3,963,953.40.

The proposed $1,500,000 loan leaves a gross gap of **$1,639,152.61** before receipts, financing costs, or scope decisions. Reserves and deposits are cash requirements, not automatically expenses. The post-substitution base year-one operating spend is $1,244,842.18.

Forecast boundary

The 72-month forecast assumes one location, ages 2-5, a 40-child planning case, recurring monthly costs, one-time costs phased, no automatic expansion, and 3% annual recurring inflation after year one. Revenue scenarios are illustrative and unsecured. No partner receipts are signed in the supplied evidence.

The base scenario shows $370,784.80 year-one net receipts and -$874,057.38 year-one operating cash before debt. The $1.5M debt illustration uses 12% annual interest, 12 months interest-only at $15,000 per month, then approximately $33,366.67 per month for 60 months. Current stress cases fail repayment coverage; the model is a capital and scope warning, not a positive return forecast.

Production scope reconciliation

The forward assumption is 12 fully animated episodes at approximately 7 minutes each, with promos and short habit/special clips. This is a future scope assumption. Historical six-minute and 13-episode references remain preserved in the source archive and are not current delivery commitments.

The current content facet totals **$539,647**, including **$122,640** in episode production labor for 84 finished minutes and **$13,865** in generation credits for the 102-minute package. QR and promo labor, voices, music, bilingual adaptation, captions, editing, rights, review, storage and delivery require row-level confirmation so separately budgeted services are not counted twice. The earlier $842,000 and $994,000 production envelopes are superseded, non-additive references.

Evidence labels

Every material number must carry one of these labels:

- **Paid actual:** supported by invoice, receipt, payroll, or bank record.
- **Written quote:** vendor scope, date, tax basis, and validity period attached.
- **Published reference price:** public price captured with URL and access date; quantity and scope still require confirmation.
- **Local wage benchmark or comparable:** market reference, not a committed hire or lease.
- **Planning allowance:** internal estimate used to reserve capital; not a quote.
- **Decision pending:** owner, counsel, regulator, or vendor confirmation required.

The 133 source-referenced lines are not all quotes. The remaining 554 lines are allowances requiring actual records, quotes, or documented assumptions. Cents-level totals show arithmetic precision, not market certainty.

Acceptance gates

No production release should be called complete until scope, rights, approved scripts, character continuity, animation test, voice/music permissions, captions, Spanish review, child-development review, delivery files, and acceptance owner are recorded. No platform release should be called operational until hosted auth, role isolation, persistence, billing, backups/restores, security/privacy review, accessibility, performance, and real-device testing are recorded.

Source map

Cost ledger is the row-level source model. PHASED_MONTHLY_72M_FORECAST.json is the current forecast. PHASED_MONTHLY_CASH.csv and PHASED_GROSS_SPEND_BY_ROW.csv provide monthly and row-level reconciliation. Operating-record audit records the absence of current primary evidence for license, capacity, enrollment, collections, payroll, rent, bank cash, reserves, debt, and permits. The current Production Bible and Operations Companion define canon, roles, curriculum, safeguards, and acceptance boundaries.

Higgsfield audit boundary

The account audit found two Oct. 8 debits totaling $565 ($375 + $190). The account includes mixed projects, so the amount is not presented as all Futures Friends spend. Ultra is 9,000 credits per month for $375 through Nov. 8. A seven-day audit recorded 11 generations, 1,164 credits, and 97 generated seconds; the displayed charge was $46.56 at $0.04 per credit. A three-month view recorded 55,188.75 credits and $2,207.55 displayed across mixed projects. A current 5,000-credit pack is $235 and expires after 90 days (about $0.047/credit). These are account observations, not a finished-season quote. The CNT-HIGGS planning estimate covers 102 finished minutes (84 season + 12 QR + 6 promo), at 12 credits/second with 3x/4x/6x retry planning assumptions; yield is not measured. Rounded 5,000-credit pack scenarios are 45 / 59 / 89 packs, costing $10,575 / $13,865 / $20,915. The scenarios exclude historical $565 and subscription double counting and have no overlap with the $122,640 human-labor allowance.

Current production-finance control note

Before batch production, approve a seven-minute episode, two QR clips and one bilingual promo. Record accepted-shot yield, rights, review and complete finishing costs. The account audit and budget reconciliation distinguish observed usage from planning allowances.

Why the proposed rate is 12%

12% fixed annual interest is a negotiation starting point, not a lender quote or market-average claim. Current prime is 7%; government-guaranteed and specialist lending benchmarks differ in borrower risk and security. At the proposed rate, amortizing payments need $41,708.34 in monthly cash before debt for 1.25x coverage. All four current forecasts fail coverage. See Futures_Friends_CURRENT_Loan_Pricing_Rationale.md for primary sources, 10%/12%/14% sensitivity and terms to agree.